

NOT A POPULAR SCHEME

INTEREST IN THE NATIONAL PENSION SYSTEM HAS DWINDLED AMONG NON-GOVERNMENT EMPLOYEES THANKS TO THE PROLIFERATION OF OTHER LUCRATIVE RETIREMENT PLANNING OPTIONS

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8.68

MILLION

TOTAL NUMBER OF GOVERNMENT EMPLOYEES, BOTH CENTRAL AND STATE, SUBSCRIBED TO NPS

4.85

MILLION

TOTAL NUMBER OF PRIVATE SECTOR EMPLOYEES WHO HAVE SUBSCRIBED TO NPS

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LAUNCHED AMID MUCH fanfare in 2003, the New Pension Scheme was expected to herald a new dawn in India's financial architecture. The Pension Fund Regulatory and Development Authority was set up to oversee the scheme, and by 2009 the government opened it up to all citizens—it was made mandatory for government employees recruited after January 1, 2004.

The scheme, renamed the National Pension System (NPS), represented a major departure from the past, at least in the public sector, since it involved defined contributions from employees that are matched by the employer. Before NPS, the government offered defined benefits schemes that guaranteed a certain pension.

But as the NPS nears its twentieth anniversary, its private